180,519 TRANSACTIONS AUDITED · DATACO E-COMMERCE CATALOG

118

out of 118 products recorded a loss-making order.

Your best-sellers might be the ones quietly bleeding profit.

Zeeshan
E-commerce Profit Analyst

Swipe →

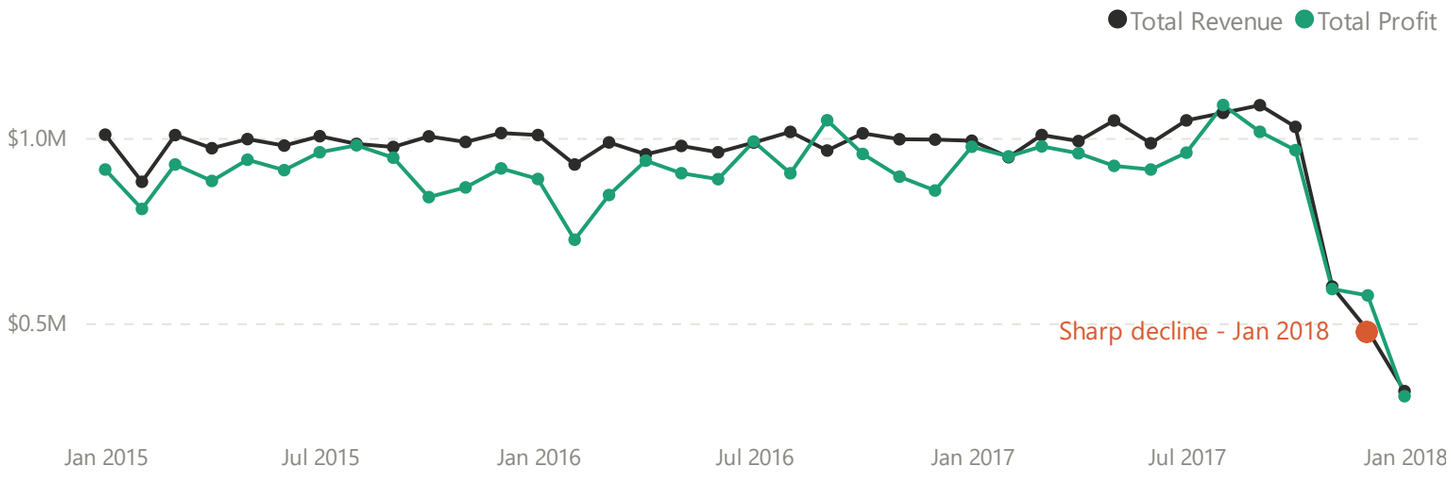
Executive Overview

E-Commerce Profit & Operational Audit · DataCo Supply Chain · 180,519 Transactions

Overview | Revenue Reality | SKU Intelligence | Operations | Scenarios

TOTAL REVENUE	TOTAL PROFIT	LATE DELIVERY RATE	LOSS-MAKING ORDERS	PRODUCTS: ANY LOSS ORDER
$35.2M	$3.8M	57.3%	18.7%	118 / 118
180K+ transactions · 3 years	10.81% net margin	Across all shipping modes	Of all valid transactions	Every SKU has failed financially

Revenue & Profit Over Time



Profit & Revenue Concentration



8 products drive the vast majority of all financial volume. The remaining 110 SKUs are operational noise.

⚠️ All 118 products have recorded a loss-making order

No SKU in this catalog is operationally clean.

⏰ First Class shipping arrives late 100% of the time

The most expensive option is the least reliable.

📊 6.8% of products generate 80% of total profit

8 SKUs are the entire profit engine of this business.

Revenue Reality: The Divergence Trap

Where revenue ranking misleads the real profit picture

REVENUE IN TRAP SKUS

1.32M

Capital allocated to trap SKUs

NEGATIVE DIVERGENCE SKUS

44

Revenue rank exceeds profit rank

WORST DIVERGENCE SCORE

-82

SOLE E35 Elliptical

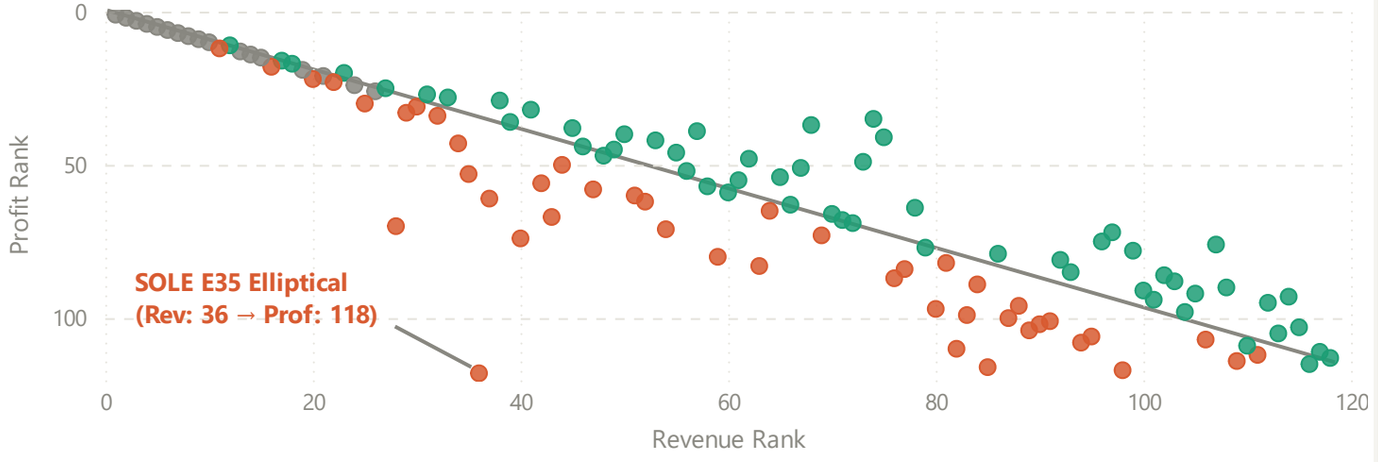
TOP 8 SKUS PROFIT SHARE

85%

Just 6.8% of the catalog

Revenue Rank vs. Profit Rank

Each dot is one product. Below the line = sells well, earns poorly



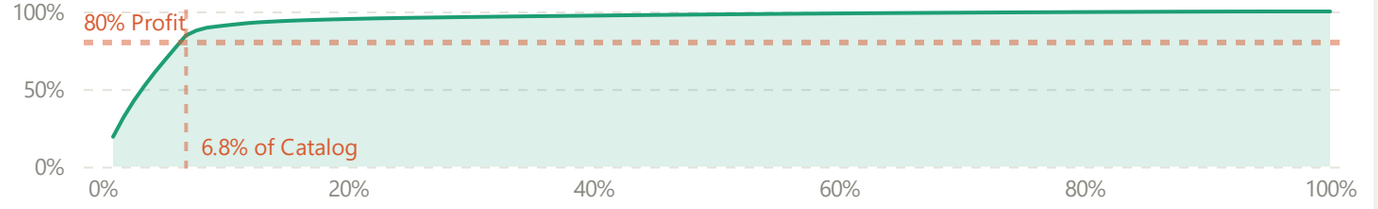
Worst 10: Revenue Rank vs. Profit Rank

High sales volume masking severe margin erosion.

SKU	Revenue Rank	Profit Rank	Net Profit Pct
Men's gala suit	28	70	4.4%
Fighting video games	35	53	7.9%
SOLE E35 Elliptical	36	118	-3.2%
ENO Atlas Hammock Straps	37	61	7.6%
Bridgestone e6 Straigh...	40	74	6.3%
Under Armour Women's I...	43	67	7.4%
Nike Men's Free TR 5.0...	59	80	7.3%
Nike Women's Free 5.0 ...	63	83	7.3%
Garmin Forerunner 910X...	82	110	3.4%
GoPro HERO3+ Black Edi...	85	116	1.9%
SOLE E25 Elliptical	98	117	-1.7%

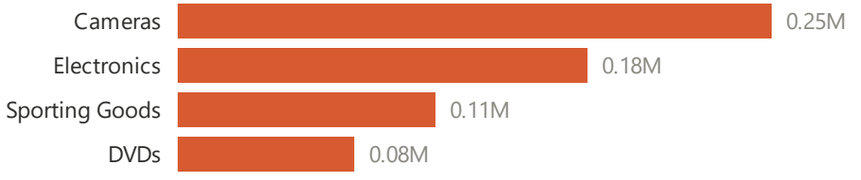
Profit Concentration

8 products generate 80%+ of all profit - the catalog severely exceeds the standard 80/20 rule.



Where the Trap Revenue Lives

Categories with the most revenue tied to underperforming SKUs.



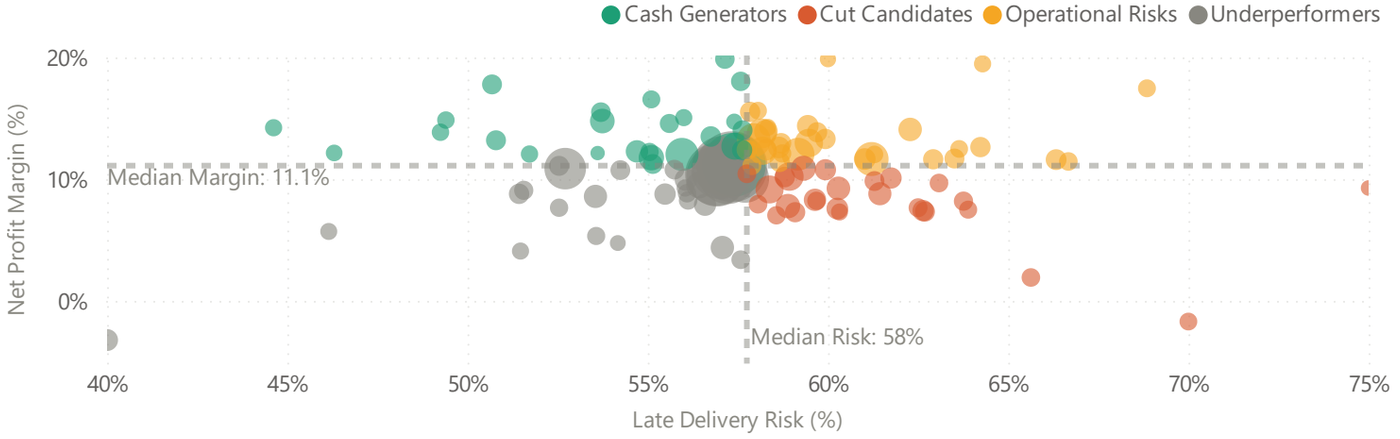
SKU Intelligence: The Action Matrix

118 products scored, classified, and prioritized for action

ZOMBIE SKUS IDENTIFIED	REVENUE TIED TO ZOMBIES	AVG RISK SCORE (ZOMBIES)	HIGHEST RISK SCORE
28	2.2%	58.8	77.9
24% of the full catalog	Operational bloat, minimal upside	Compare against catalog median (~51)	SOLE E25 Elliptical

SKU Operational Quadrants

Bubble size = revenue. Bottom-right = zombie SKUs.



Top 10 High-Risk SKUs

Highest composite threat from delivery failure and margin loss.

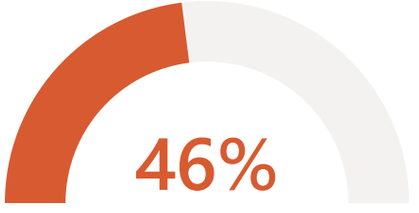
SKU	Risk Score	Late Delivery (%)	Revenue
SOLE E25 Elliptical	77.90	70%	10000
Bushnell Pro X7 Jolt S...	75.80	75%	4800
SOLE E35 Elliptical	66.70	40%	30000
Nike Kids' Grade Schoo...	65.50	61%	18098
Men's gala suit	64.30	57%	41748
Garmin Forerunner 910X...	63.50	58%	13200
Hirzl Women's Soffft F...	62.20	64%	15381
Pelican Maverick 100X ...	61.90	63%	14000
GoPro HERO3+ Black Edi...	61.40	66%	12800
Nike Women's Free 5.0 ...	61.20	63%	18903

The Cut List: 28 Zombie SKUs

Removing this entire group costs <2% of total profit.

Products Removed	Revenue Retained	Profit Retained
28	97.8%	98.2%

SKU	Category	Revenue	Margin	Delivery Risk
Smart watch	Sporting Goods	110124	10.2%	59%
First aid kit	Health and Beauty	101392	9.2%	58%
LIJA Women's Eyelet Sl...	Golf Shoes	58695	10.9%	59%
Under Armour Women's	Boxing & MMA	44196	9.2%	60%
Adult dog supplies	Pet Supplies	39837	8.8%	61%
Clicgear Rovic Cooler Bag	Golf Gloves	33072	8.3%	60%



of all categories have at least one zombie SKU

Operations

Why products fail: shipping reliability and discount dependency

FIRST CLASS LATE RATE

100%

The most expensive option is least reliable

STANDARD CLASS LATE RATE

39.8%

Cheapest option, most reliable

AVG DISCOUNT DEPENDENCY

94%

Across the entire catalog

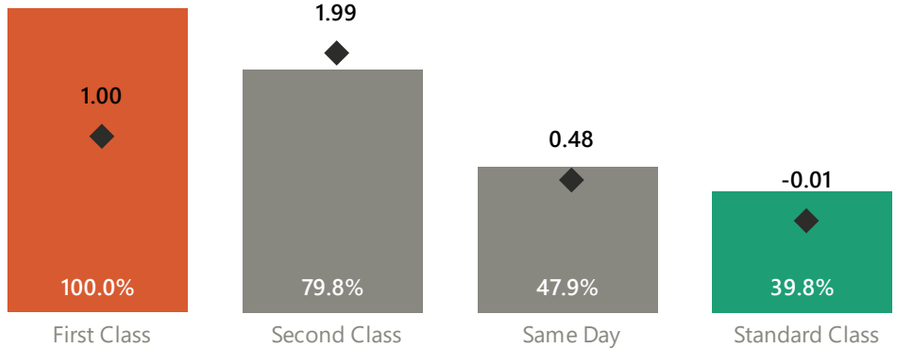
DISCOUNT-MARGIN LINK

None

Statistically confirmed: no causal relationship

Premium Shipping, Worse Reliability

First Class arrives late on every single order. ◆ = Average Delay in Days



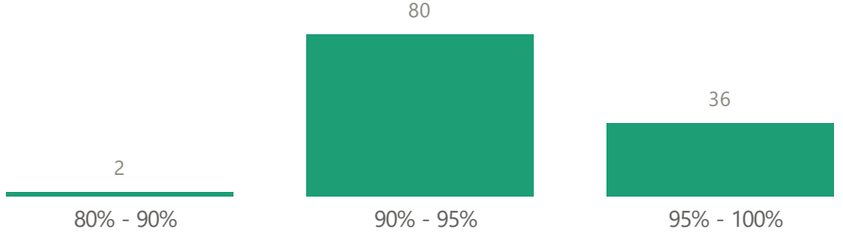
Where Delivery Fails Geographically

Darker regions carry higher operational risk.



The 94% Floor

Almost every product requires a discount to sell. This is structural, not promotional.



Discounting Isn't the Problem

Zero Correlation

Statistical r-value: -0.03

Statistically Confirmed

There is no causal relationship between discount frequency and margin erosion. Discounting is a baseline marketplace reality, not the driver of localized SKU failures.



Scenarios

What happens to profit under three financial stress tests

SAFE TO CUT

$67K

28 SKUs removed, 98.2% profit retained

CORE 8 EXPOSURE

$643K

Lost if a 20% shock hits the top 8 SKUs

COMPOUNDING RISK

$181K

Cost of letting operations keep deteriorating

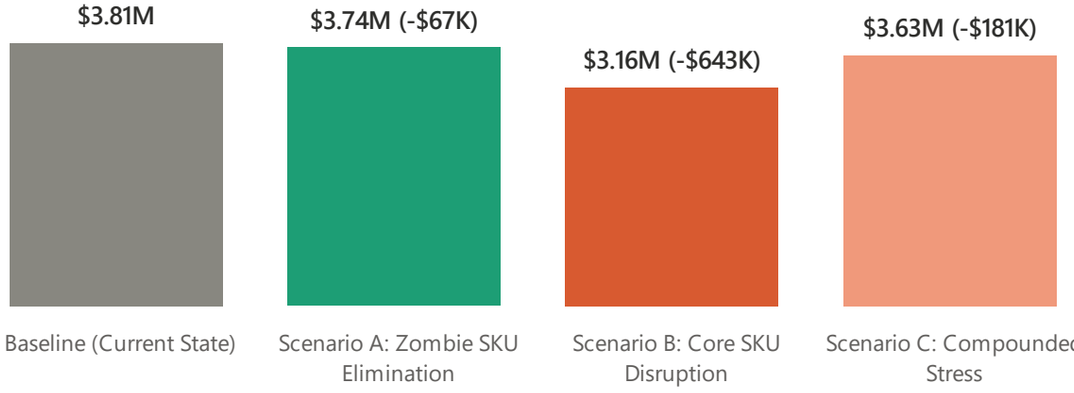
CORE RELIANCE

84.5%

Of total profit sits in just 8 products

What Each Scenario Costs

Starting from $3.8M in baseline profit.



The Protected Core

These 8 products are the business's entire profit engine.

SKU	Profit	Margin	Risk Score
Field & Stream Sportsm...	$731,576	11.0%	51.30
Perfect Fitness Perfec...	$473,821	11.2%	51.30
Diamondback Women's Se...	$409,896	10.4%	50.90
Nike Men's Free 5.0+ R...	$359,794	10.3%	50.80
Nike Men's Dri-FIT Vic...	$334,336	11.1%	51.00
Pelican Sunstream 100 ...	$307,911	10.4%	51.20
O'Brien Men's Neoprene...	$302,404	10.9%	51.30
Nike Men's CJ Elite 2 ...	$296,711	10.7%	51.00

PRIORITY 1

Cut the 28 Zombie SKUs

Costs $67K in profit. Frees 25% of operational bandwidth immediately. This is the lowest risk, highest impact action available.

PRIORITY 2

Protect the Core 8 at All Costs

A single supplier disruption or logistics shock to these products risks $643K — 17% of total company profit.

PRIORITY 3

Address Chronic Delivery Failure

First Class shipping fails 100% of the time. Fixing fulfillment reliability prevents the $181K compounding loss scenario from materializing.